

issues related to governance. What are the key focus areas that you have identified?

A: First and foremost, not to lose focus on the purpose of an exchange, which is a social purpose. Then working on capital formation and increasing the trust of the investing community on companies; [and] providing facilities to raise capital and safe transactions. If India grows, exchanges will be the fulcrum on which it grows because capital has to be raised, people need to get information and invest, there has to be corporate governance and the ability to transact in a safe and regulated environment. Also, [there will be] more and more instruments like electricity, bond futures, or carbon trading... Our job will be to act as front-end regulators and not to lose sight of the focus areas. An exchange is also a utility, and as a utility, no one cares [about] how much money we make. What people care [about] is whether you are able to manage corporate governance for the companies listed on the exchange, whether the transactions are happening without any fear or concerns and that will hold true for centuries. An exchange manufactures trust for all the stakeholders.

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“In terms of corporate governance and investor protection, we are among the best in the world. Since Independence, this is the first time that we are not being taken over by circumstances”

Q: Do you think NSE would be your biggest challenge given the issues around it?

A: In terms of achievements, I think setting up the NSE is my biggest achievement. Everything else pales [in comparison] as what it has done for India is beyond everything else. It was the first DPI of the country. When I got a chance to come back to the NSE, some had apprehensions... But someone has to do the job.

Q: Given NSE's financials, it wouldn't be wrong to say that it is a blue-chip company. In that context, when will NSE list?

A: It is difficult to predict when the listing will hap-

pen as Sebi (markets regulator the Securities and Exchange Board of India) has to take a final call on that. Our job is to run the exchange as an exchange... The focus is back on governance and its core functions along with investor services while facilitating companies to raise capital and becoming a place where the public benefits. We used to have technical issues but in the last one and a half years, while the number of trades has more than doubled, there has not been any technical issue.

Q: Do you see BSE as a competitor?

A: Society requires many more players... We are 17 per cent of the global population. In the West, exchanges have become businesses. In India, the government or regulator does not look at exchanges as businesses. We are public infrastructure and we have to work for public interest... NSE and BSE are not competing as companies are listed on both, the same set of regulations apply to both, and even the brokers and investors are the same on both. There is a lot of co-operation and competition would be just 0.001 per cent.

Q: NSE is already the world's largest derivatives exchange in terms of the number of contracts traded, but it still wants to have longer trading hours. Is it really the need of the hour?

A: We were the first automated exchange and even though we used to trade for only two hours officially, trading activities used to happen throughout the day. Over the years, our trading hours have increased and while the rest of the world automated later, they now trade for over 20 hours daily. Technology allows us to increase the trading hours and it is in the interest of the investors, not just the traders. Yes, there is a cost component... We have sent the proposal to Sebi.

Q: A Sebi analysis shows that while the derivatives segment registered an exponential rise between FY19 and FY22, a vast majority of individuals experienced losses...

A: Derivatives are risky and leveraged instruments and if one is not an expert, one should stay away... As an exchange, it is our job to make people aware and so we do a lot of campaigns... though we are a company or a business, our responsibility is towards society. Savings are precious as that takes care of the family in future and so it is important that investors get involved in instruments that they understand and are safe from their risk perspective and suits their profile. **BT**

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